Spend-it Account. If it runs dry, move more from Income to Spend. ***Moving money from Invest-it to Spend-it is not allowed in my book.***

In three months you'll know what's going on with your money life. If your Invest-it Account is empty, you know you're spending too much. You should be able to move a minimum of 10 per cent of your income in hand each month to your Invest-it Account – irrespective of EMI, rent and whatever else your commitments are. Sneak a peek at the retirement chapter if you are impatient to find out thumb rules on how much you need to save at each age and stage.

Two things happened when I began doing this. One, I began to question my spending. Once you realize how much is going into your Spend-it Account, you can't hide from yourself any more. Two, as the Invest-it Account begins to build up, you see how much your saving capacity is.

I've had friends WhatsApp me six months later and say, 'I never thought I could save, and look at what I have in my account now!' Putting a label of Invest-it deters most people from dipping into it for a splurge.

What stops you from dipping into your Invest-it Account to pay for your spending? This is where behavioural economics steps in. Putting a label on money prevents people from using it for any other purpose. This is called 'mental accounting' and it means that we like to separate our money into separate accounts according to intent, and dislike using it for any other use.

When we use mental accounting unconsciously we end up using it wrongly – carrying a large credit-card debt that costs us 36 per cent interest a year, while making the monthly payments to the recurring deposit that gives just 7 per cent interest.

A smarter step will be to pay off the high-cost loan before spending, but mental accounts prevent us from seeing the two uses of money with the same lens. When we use mental accounting in the cash flow system, we are using the principle of mental accounting to work for us. When we label the account Invest-It Account, we will be loath to touch it for our current spending needs. We're tricking our brain into doing the right thing.

It's done. We've got a cash flow system in place. We're one step forward in our journey to a hands-free money box. And yes, Anu saw the logic of the system, and is using it. And is on her way to a smart money box.